Supplemental Comment of Tokenization Systems on FINCEN-2026-0100

Submission channel: regulations.gov (Docket FINCEN-2026-0100); alternatively by mail to the Financial Crimes Enforcement Network
To: The Director of the Financial Crimes Enforcement Network and the Director of the Office of Foreign Assets Control
Docket: FINCEN-2026-0100; RIN 1506-AB73
Re: Supplement to the comment of Tokenization Systems (on the record as FINCEN-2026-0100-0005, filed April 18, 2026) regarding Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Programs and Effective Sanctions Compliance Programs
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Purpose of this supplement

This letter supplements the comment that Tokenization Systems filed on this docket on April 18, 2026, which is on the public record as comment FINCEN-2026-0100-0005. It adds one focused point and does not restate the prior comment or its other recommendations.

The single point concerns Recommendation 6 of the filed comment, which urged the agencies to require that Permitted Payment Stablecoin Issuer (PPSI) risk assessments address reserve custody relationships, including concentration risk, jurisdictional risk, and operational risk. As filed, that recommendation rested on a single third-party descriptive source: the Federal Reserve FEDS Note by Du, Sonawane, and Watsky (December 17, 2025, DOI 10.17016/2380-7172.3958), which documents that USDC reserves included approximately $3.3 billion held at Silicon Valley Bank during the March 2023 episode. That source documents the existence of a custodial concentration channel; it does not establish the causal magnitude or the timing of the resulting peg disruption. Since the April filing, first-party empirical evidence on exactly that question has matured, and this supplement places it before the agencies.

The new ground: first-party causal evidence on the reserve-custody-concentration channel

A working paper produced within the author's research program, "Did Reserve Concentration Cause Stablecoin Fragility? Evidence from the SVB Shock," reached its current version on June 8, 2026, after the April 18 filing, with the event study as its lead specification. The study could not have been cited in the original comment; it is available from the author on request.

It supplies the first-party causal anchor that Recommendation 6 previously lacked, and it does so through a within-unit event study rather than through a cross-sectional comparison.

The evidence indicates the following. A within-unit event study of USDC's hourly price path documents a depeg trough of 9.77 percentage points at the tenth hour of the event window opened by the Silicon Valley Bank failure and Circle's disclosure of its exposure, measured against flat pre-event trends (mean absolute pre-event coefficient of 0.03 percentage points). The full hourly panel spans ten stablecoins over sixty days (10,091 stablecoin-hour observations before sample restrictions); after those restrictions, the event study is estimated on an eight-token specification. The recovery trajectory breaks at the joint Federal Reserve, Treasury, and Federal Deposit Insurance Corporation backstop announcement, and that break is detected by a formal joint structural-break (Chow) test that is significant at the announcement hour ($F = 7.41$, $p = 0.0012$). Two placebo tests are consistent with an event-specific channel rather than generalized market stress: a non-event weekend produces a null result ($p = 0.322$), and the Silvergate Bank collapse two days before the Silicon Valley Bank seizure also produces a null result ($p = 0.300$). Silvergate is a particularly informative placebo: a crypto-focused bank whose failure might have been expected to disturb stablecoin prices, yet it held no stablecoin reserves and therefore opened no reserve-loss channel. Two further measurements in the study locate the channel precisely. The exposure that produced this trough was approximately 8 percent of the issuer's total reserves, a small share in percentage terms. And with the reserve bank in receivership and weekend banking closed, the issuer's primary-market redemption throughput fell over the weekend to roughly seven percent of its seizure-day level, impairing the arbitrage that normally holds the token at par. Together these measurements carry an arithmetic the agencies can verify directly: even a complete loss of the Silicon Valley Bank exposure would have left roughly 92 cents on the dollar of reserve backing, yet at its minute-level intraday low the token traded near 89 cents, below that worst-case floor. The market was pricing not only the potential loss of the concentrated reserves but the impairment of the redemption mechanism itself; a reserve-custody concentration transmits through both channels at once.

The causal weight of this evidence rests on the within-unit time path and the structural-break test, which identify off the treated unit's own behavior and do not depend on the composition of any control group. The study's cross-sectional difference-in-differences point estimate (negative on every specification, approximately 1.7 percentage points on the reproducible panel) is reported in the study as a descriptive magnitude only. An eight-token cross-section with a single directly treated issuer cannot carry a cross-sectional significance claim, and the study does not assert one. The agencies should weigh the causal claim on the event-study trough and the structural-break test, not on the cross-section.

This evidence speaks directly to the agencies' own question. It indicates that a single-bank reserve-custody concentration shock, operating through the PPSI-to-reserve-bank relationship rather than through the PPSI's direct customer relationships, produced a large and abrupt deviation from peg, and that the deviation's recovery trajectory broke at the policy backstop announcement rather than reverting on its own, a path consistent with policy-driven recovery rather than market self-correction. That is precisely the relationship that the filed comment asked the agencies to bring within the special-standards-of-diligence framework. The April comment could state the concern; it could not yet quantify it. The agencies now have a first-party, reproducible estimate of how severe and how fast the disruption can be.

Relationship to the proposed rule

This point bears directly on Section I of the NPRM, the Questions on Proposed Special Standard of Diligence, and primarily on Question 48, which asks whether there are types of relationships, accounts, or arrangements involving PPSIs that may raise questions about whether they should be treated as correspondent accounts, private banking accounts, or neither. It bears as well on the related Questions 46, 47, and 49. The reserve-custody relationship between a PPSI and its reserve bank is such an arrangement. It is not a correspondent account under the traditional definition, but the evidence above indicates that it carries concentration and operational risk of a magnitude that warrants explicit treatment under the special-standards-of-diligence framework of proposed 31 CFR 1033.600 through 1033.630, including the special standards at 31 CFR 1033.610 and the prohibitions and special measures at 31 CFR 1033.620. The filed comment's Recommendation 6 addressed this same question set (Questions 46 through 49). This supplement strengthens that recommendation with the first-party causal evidence that the channel is material, not merely possible.

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We accordingly reaffirm Recommendation 6 of our comment of record, with this added empirical support. For the reasons in our comment of record and the empirical evidence above, the final rule should require that PPSI risk assessments address reserve custody concentration as an arrangement carrying distinct and measurable risk under the special-standards-of-diligence framework.

We appreciate the agencies' consideration of this supplemental point and of our comment of record.

Respectfully submitted,

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